

Breaking Into Commercial Real Estate

Field notes from a decade of underwriting — the things you won't find in a course.

PREPARED FOR ELI · JULY 2026

Eli —

After we talked last night, I didn't want to leave it at "it's a good business, go for it." So I pulled together what I actually learned doing this for ten-plus years — the real stuff, the lessons that cost me time and money to figure out, not the polished version.

A caveat up front, because it matters: my lane was a very specific one — pre-war rent-stabilized apartment buildings in the Bronx and upper Manhattan. That's a regulation-heavy niche, and it's not necessarily where the opportunity is for someone starting *today*. So I've split this into two halves: the **timeless craft** (this works in any asset class, any market), and an honest read on **where the 2026 market actually is** so you pick your own lane deliberately instead of copying mine.

Read it once now, then come back to it when you're staring at your first real deal. And call me — I'll walk you through that one live.

— Sam

I. THE MINDSET SHIFTS

Get these four right and the spreadsheet mostly takes care of itself.

01

You're buying a business, not a spreadsheet.

Every building is an operating business wearing a real-estate costume — tenants, cash flow, expenses you can influence and expenses you can't, and a physical thing that ages. The people who lose money treat it as a math problem. The people who make money ask "what is this *actually*, who's paying, what breaks, and what can I change." Learn to see the business first and the numbers second.

02

Sourcing is the edge — not analysis.

Anyone can underwrite a deal that gets emailed to them by a broker. That's a commodity skill. The money is in **finding the deal nobody else is looking at** — the owner with an old mortgage who's quietly ready to sell, the building on a code-enforcement list, the family that has to close a 1031 by a deadline. I built lists of hundreds of buildings and tracked the *signals* that a seller was getting motivated: loan vintage, violation counts, how long they'd held it, whether they owned one or a hundred. The underwriting told me what to pay; the sourcing was why I had anything to underwrite at all.

03

Your ceiling is execution capacity, not deal flow.

This is the one I learned the hard way. I could find and underwrite plenty — but everything ran through me. That capped me at about two live deals at a time and a lot of 2 a.m. spreadsheet nights. **Build leverage from the very beginning** — systems, a template you trust, a partner or an assistant, whatever removes you as the single point of execution. The best underwriter who can only do two deals a year loses to a decent one who's built a machine that does ten.

04

Deals die waiting on one unanswered question.

Not from a bad number — from a question that sat open too long. What are the real taxes going to be after I buy it? Is that lease actually enforceable? What does the survey show? **Front-load every one of those on day one** and chase the answers on a schedule, or a deal will quietly go cold in the gap while you wait. Momentum is a real asset. Protect it.

"The underwriting tells you what to pay. The sourcing is why you have anything to pay for. Beginners obsess over the first and ignore the second."

II. HOW TO ACTUALLY READ A DEAL

Five questions I ran on every single deal, before I trusted any number.

01

What are the rules *here*?

New market, new deal — **first** find out what governs the asset in that specific place. Rent regulation, zoning, code enforcement, tax mechanics — they change everything and they're different in every jurisdiction. I had to think about a Bronx building completely differently than one across a state line. Never reuse another market's assumptions. Learn the regime *before* you set a price.

02

Is there a value-add — and can you actually capture it?

Below-market rents, renovation upside, a repositioning — great, but **quantify it, don't assume it**, and be honest about whether *you* can capture it or whether you need the market to move for you. In my world the upside was the gap between the legal rent and what was actually being collected — but I only ever underwrote to rent I could *legally defend and physically capture*. Paper upside that needs the market to cooperate is a wish, not a plan.

03

What are the taxes *after* closing? (The silent killer.)

The single most common way a deal blows up: you underwrite the seller's tax bill — often frozen or capped — and then the county reassesses to *your* purchase price the year after you close, and the new bill vaporizes your projected income. **Model the buyer's tax bill, not the seller's**. Find out whether the jurisdiction reassesses on sale, at what basis, and get the number *looked at* — don't eyeball it. This one line has broken more pro-formas than anything else I've seen.

04

What's restricting the property — and can any of it be used?

Covenants, prior encumbrances, regulatory agreements, easements. Two questions on each: **can it be turned into an advantage** instead of just avoided, and **how long does it last?** Duration changes the whole play. A restriction that burns off in two years is a different deal than one that runs for twenty.

05

When does a lawyer need to look?

Title, contract, covenants, entitlements — flag the legal review **early**, not at the closing table. I never let a deal become binding until the purchase agreement was in a form my counsel was comfortable with. Surprises found in diligence are cheap. Surprises found at closing are expensive.

III. THE DISCIPLINES THAT SEPARATE PROS FROM AMATEURS

The habits inside the model itself. This is where most people cut corners — don't.

01

Re-underwrite the broker's numbers. Always.

The offering memorandum is a *marketing document*, not a set of facts. Its "pro-forma NOI" is the seller's best-dressed version of the income. Rebuild it yourself from the actual rent roll and the real expenses — and the gap between the broker's NOI and your NOI *is your negotiating room*. Treat every headline number as a claim to be verified, not a fact to be trusted.

02

Never trust one metric — triangulate.

Value it four ways and make them agree: the income approach (cap rate), the gross rent multiple, price per unit, and price per square foot. If a deal only works on one of them, that's a flag — you're leaning on the one metric that flatters it. When several independent lenses point to the same number, you can believe it.

03

Stress the exit, not the entry.

Amateurs sweat the going-in price. The exit is where deals actually live or die, because a small move in the cap rate you sell at swings the value enormously. **Never underwrite cap-rate compression** — never assume you'll sell at a better rate than you bought. Assume the opposite, run a whole ladder of exit scenarios, and make sure the deal still works in the ugly ones. If it only works when you sell into a better market, it doesn't work.

04

Size the loan to protect your *worst* year.

Don't underwrite the average year's debt coverage — underwrite the *worst* year the loan will ever see, and size the debt so you still cover it then. And learn **debt yield** (NOI divided by the loan amount) — it's the one metric a cheap interest rate and an aggressive appraisal can't game. In today's market the lender's coverage tests, not the loan-to-value, are usually what limit how much you can borrow. Respect that early.

05

The margin-of-safety test.

Look at the return the deal throws off *as it sits today* versus the return in your improved pro-forma. If **all** of the return lives in the pro-forma and there's almost nothing in place, that's a repositioning — fine if *you* control the levers that get you there (renovations, turnover, operations), and a pass if getting there depends on things you don't control. Know which one you're buying.

06

Vacancy is a curve, not a number.

A renovated or repositioned building doesn't fill up on day one. Model the *ramp* — high vacancy early, settling to a stabilized level over a couple of years — instead of assuming it's full the day you close. Same discipline for anything you're improving: model the path to stabilized, not the destination.

07

Screen fast, go deep slow.

You'll look at far more deals than you buy — most are passes, and that's correct. Build a fast one-line screen (what's the value at my target cap versus the ask; the rent-per-unit; the price-per-unit) to kill or advance a deal in minutes. Only spend the deep, full-model hours on the handful that survive the screen. **Learning to pass quickly is as valuable as learning to underwrite.**

"If a deal only works when you sell into a better market than you bought in, it doesn't work. Underwrite the ugly exit and make sure you still win."

IV. WHERE THE 2026 MARKET ACTUALLY IS

So you enter informed — and pick a lane on today's reality, not yesterday's.

The single most important thing to understand right now: **rates are higher-for-longer**, and on a lot of "core" deals the going-in yield is actually *below* the cost of the debt. That means leverage works *against* you on day one — your return has to come from growing the income and paying down the loan, **not** from cheap debt or from selling at a lower cap rate. If you catch yourself penciling in falling rates or a better exit cap to make a deal work, stop. That's the mistake of the moment.

The flip side: a wall of loans is coming due into a market that won't refinance them on the old terms. That creates **maturity-driven distress** — motivated sellers and recapitalizations — which is where a sharp, patient newcomer with dry powder finds entry points. The distress isn't because the buildings are bad; it's because the *debt* no longer fits. Learn to tell those two apart.

An honest read on the asset classes:

Multifamily core	Still the deepest, most financeable market to learn in. The #1 killer today is floating-rate debt with an expiring rate cap, plus insurance costs that have exploded in FL/TX. Fixed-rate, coverage-first, no cap-compression fantasy.
Retail (NNN & grocery-anchored) strong	The quiet winner of this cycle — almost no new supply was built for a decade. It's really credit + lease analysis in a real-estate costume. Grocery-anchored and strong-credit single-tenant are the institutional favorites. Great place to learn how leases actually drive value.
Industrial / warehouse bifurcated	Two markets in one: modern, well-located boxes are tight; older, obsolete big-box (low ceilings, wrong location) is soft and re-tenants at a discount. Small-bay/infill is the defensive play; speculative big-box in oversupplied metros is the trap.
Medical office resilient	Need-based, demographic-driven, sticky tenants (doctors don't abandon a built-out suite). Recession- and e-commerce-resistant. Credit of the tenant is the biggest value driver.
Office distress	Deep value for the very experienced and a landmine for a newcomer. Prices are often below replacement cost — a bet on conversion or optionality, not on yield. Don't make this your first deal.
Specialty (cold storage, self-storage, IOS) operating	The most "operating business" of all — you're underwriting equipment, labor, energy, and compliance, not just a box. High skill ceiling, real moats, but don't underwrite them like plain real estate.

My old lane — rent-stabilized apartments in New York — is a fine business, but it's a specialized, regulation-heavy one, and it trades on very thin going-in yields. I'm not steering you toward it or away from it; I'm telling you to **choose deliberately** based on where the opportunity is for *you*, today.

V. YOUR FIRST MOVES

If I were starting over right now, this is the order I'd do it in.

01

Pick one lane and go deep.

One asset type, one market. Depth beats breadth by a mile at the start — you want to know a single submarket so well that you can price a building in your head. Scattering across asset types and cities is how beginners stay beginners.

02

Underwrite fifty deals before you buy one.

Reps build the pattern. Model deals you have no intention of buying, then watch what they actually trade for and see how close you were. That feedback loop is how the number-sense gets built — and it costs you nothing but time.

03

Build relationships and a farm in that lane.

Get on the broker lists, but don't stop there — build your own. Track the owners, the loan vintages, the signals. Deal flow you generate yourself is worth ten times the deal flow that shows up in your inbox alongside everyone else's.

04

Protect the downside — survive to deal two.

Your first deal doesn't have to be a home run; it has to *not kill you*. Coverage that holds in a bad year, a real reserve, an exit that works even if the market softens. Get to deal two, then deal three, and let it compound. The people who blow up are almost always the ones who bet the exit.

05

Don't do your first few alone.

Partner or find a mentor who's been through a full cycle for the first couple. The tuition you'd pay for a mistake on deal one is worth far more than a piece of the deal. That's an open offer, by the way — call me on the first real one and we'll walk it together.

That's the honest version, Eli. None of it is theory — it's what a decade of doing it actually taught me, including the parts that stung.

Start with one lane, underwrite everything, protect your downside, and treat sourcing as the real job. Do that and you'll be ahead of most people who've been at this for years.

Proud of you for going after it. Call me.

— *Sam*

Hook Street Capital · Prepared privately for Eli, July 2026.

A distillation of methodology and lessons learned — general principles, not investment, legal, or tax advice. Run your own diligence and use your own advisors on any specific deal.